LEATHER

Asad K. Iraqi, regional chairman (central) of the Council for Leather Exports, says the government's initial signals had given them some confidence, but it calls for big changes in the industry. "If the government absorbed 7-8 per cent [of the loss], we manufacturers could take another 7-8 per cent, and the rest we could work out with buyers. But before we could work that out, the tariff increased to 50 per cent and that is not workable," says Iraqi, who is also secretary of the UP Leather Industries Association.

↘ **The Competitors:** Vietnam, Bangladesh, China and Cambodia. Many manufacturers are toying with the idea of shifting bases to these countries, especially ones that have got off lightly on tariffs. But that is a time-consuming process.

↘ **Newer Markets:** Exporters may attempt to redirect products to Europe. Germany, the UK and Italy account for over 26 per cent of India's leather exports. Their share in Bengal's export basket is significant too—Germany at 16.33 per cent, the UK at 11.5 per cent and Italy at 9.5 per cent. Yet these markets can absorb neither the scale nor the fashion orientation of the US market.

Hopes, therefore, rest on a policy shift in Washington, which would be logical for them. "Our products are of premium quality, unavailable in other countries," says Ramesh Kumar Juneja, vice chairman, Council for Leather Exports. "US importers will eventually have to come to us. We hope our governments can negotiate realistic terms." ■



DEBAJYOTI CHAKRABORTY

VICTIMS OF TRUMP TARIFFS

FOOD & AGRICULTURE

A HARVEST OF HARD CHOICES

With competitors poised to leap in, farm exporters face a painful choice: absorb heavy losses or abandon hard-won market share

By ANILESH S. MAHAJAN